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LIFE ASSURANCE SECTOR REPORT

FOR THE NINE MONTHS-ENDED 30 SEPTEMBER 2020

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- iv. Please Note: All Monetary Figures are in ZWL\$ except where stated. Figures relating to periods before 22 February 2019 which were originally reported in USD were converted into ZWL\$ at parity with the United States Dollar in accordance with the provisions of S.I 33 of 2019.
- v. All amounts in this report are in nominal terms and in ZWL\$000, except where specifically stated to be in real terms.

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1. Executive Summary

1.1 For the nine months-ended 30 September 2020, the life assurance sector was made up of 12 direct life assurance companies, four (4) composite reinsurance companies and 1548 agents.

1.2 The life assurance sector reported Gross Premium Written (GPW) of ZWL\$2.004 billion from traditional life assurance business, representing a nominal increase of 596.24% from ZWL\$205.92 million reported in the comparative period in 2019. This excludes pension fund business of ZWL\$299.48 million and ZWL\$664.11 million reported for nine months- ended 30 September 2019 and 2020 respectively.

1.3 In future, life assurers will be expected to report only traditional life assurance business in their GPW figures. For the avoidance of doubt, life assurers will no longer report pension fund business in their GPW figures.

1.4 The increase in GPW is mainly attributable to significant premium increases, particularly from funeral assurance and group life assurance classes in response to general rise in inflation.

1.5 Nominal growth in GPW from traditional life assurance business at 873.38% was above the increase in year-on-year inflation, which stood at 659.4% as at 30 September 2020. Thus on inflation adjusted basis, GPW from traditional life assurance increased from ZWL\$205.92 million reported for the nine months ended 30 September 2019 to ZWL\$263.94million reported for the nine months ended 30 September 2020.

1.6 GPW for life reassurers in nominal terms increased by 529% from ZWL\$12.54 million reported in the nine months-ended 30 September 2019 to

ZWL\$78.84 million for nine months-ended 30 September 2020.

1.7 After adjusting for inflation, the growth in GPW for life reassurers was negative 17.24% from ZWL\$12.54 million reported as at 30 September 2019 to ZWL\$10.38 million reported as at 30 September 2020.

1.8 Adequate capitalisation is important for a strong insurance sector as this enhances the protection of policyholders' interests.

1.9 Nine (9) out of twelve (12) life assurance companies and all four (4) life reinsurance companies reported capital positions, which were compliant with the prescribed minimum capital requirements of ZWL\$75 million and ZWL\$112.5 million, as at 30 September 2020.

1.10 As at 30 September 2020, direct life assurers reported a 24.79% nominal growth in total assets from ZWL\$49.09 billion as at 30 June 2020 to ZWL\$61.26 billion as at 30 September 2020.

1.11 These include assets supporting pension fund business that was written for the nine months ended 30 September 2020.

1.12 The growth was mainly attributable to an increase in the value of fixed property, which increased by ZWL\$6.4 billion from ZWL\$18.19 billion as at 30 June 2020 to ZWL\$24.60 billion as at September 2020.

1.13 The asset base for composite reassurers grew by 31.2% from ZWL\$822.05 million as at 30 June 2020 to ZWL\$1.08 billion as at 30 September 2020.

1.14 As at 30 September 2020, the average prescribed assets ratio for life assurers and life reassurers stood at 10.42% and 1.59% respectively.

1.15 All direct life assurance companies and three (3) life reinsurance companies were not compliant with the minimum

prescribed assets ratio of 15%. The Commission urges players to prioritise compliance with prescribed assets.

1.16 For the nine months ended 30 September 2020, the life assurance sector reported nominal profit after tax of ZWL\$43.06 billion, an increase from ZWL\$6.5 billion reported in the comparative period of 2019.

1.17 The after-tax profit for life reassurers grew by 1424% from ZWL\$8.42 million reported for the nine months ended 30 September 2019 to ZWL\$128.29 million for the nine months ended 30 September 2020.

1.18 The increase in nominal profit after tax for both life assurance sector and life reinsurance sector was mainly attributable to high investment returns from revaluation gains on equity investments.

1.19 In real terms, profit after tax for the life assurance sector and life reinsurance sector were ZWL\$5.97 billion and ZWL\$16.89 million respectively.

Table 1: Financial Performance Indicators

Financial aspect	Life Assurance				Life Reassurers			
	Sept-20	Sept-20 Inflation adjusted	Sept-19	Growth (Inflation adjusted)	Sept-20	Sept-20 Inflation adjusted	Sept-19	Growth (Inflation adjusted)
GWP (ZWL\$000)*	2,004,386	263,943	205,921	28.18%	78,840	10,382	12,544	-17.24
NWP (ZWL\$000)	1,951,504	256,980	195,937	31.15%	61,841	7,775	9,822	-20.84
Claims (ZWL\$000)	1,313,958	165,194	253,461	-34.82%	36,774	4,623	3,333	38.70%
Management operating expenses (ZWL\$000)	825,627	103,800	142,517	-27.17%	9,894	1,243	2,106	-40.98%
Commissions (ZWL\$000)	76,815	9,657	20,655	-53.25%	13,070	1,643	2,471	-33.51%
Technical costs (ZWL\$000)	2,216,400	278,652	416,633	95.52%	59,738	7,510	7,910	-5.06%
Profit after tax (ZWL\$000)	45,065,145	5,665,721	6,536,221	-13.32%	128,290	16,129	8,636	86.76%
Financial aspect	Sept-20	June -20	Growth %		Sept -20	June -20	Growth	
Total Assets (ZWL\$000)*	61,262,580	49,808,782	24.79%		1,078,548	822,055	31.20%	
Total Liabilities (ZWL\$000)	51,100,795	40,632,299	25.76%		523,235	334,332	56.50%	
Capital (ZWL\$000)	10,161,784	9,176,483	19.42%		2,153,723	487,723	341.59%	
Capital to liability ratio	19.89%	22.58%	-2.69%		411.61 %	145.88%	265.74%	
Prescribed assets (ZWL\$000)	6,842,837	4,599,392	60.35%		17,177	1,950	780.87%	
Prescribed assets ratio %	10.42%	9.24%	1.18%		1.59%	0.24%	1.35	

2. The Insurance and Pensions Commission at Glance

2.1 The Insurance and Pensions Commission (IPEC) is a statutory body mandated to regulate, supervise and develop the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe.

2.2 This report outlines industry developments and IPEC's various activities in the life assurance industry consistent with its statutory mandate for the 9 months ended 30 September 2020.

3. Industry Architecture and Complaints

Industry Architecture

3.1 As at 30 September 2020, there were 12 registered life assurers and four (4) registered life reassurers under the supervision of the Insurance and Pensions Commission (IPEC).

3.2 Heritage Life Assurance Company failed to submit returns to the Commission, as such, it was not included in this report.

3.3 Life assurers had 1548 agents comprising both corporate and individual agents as shown in table below.

Table 2: Distribution of Agents, staff and branches across Life Assurers

Name Of Company	LIFE ASSURANCE INDUSTRY STRUCTURE							
	Corporate Agents		Sole Agents		Staff		Branches	
	Sep-19	Sep-20	Sep-19	Sep-20	Sep-19	Sep-20	Sep-19	Sep-20
CBZ Life	3	0	49	53	40	16	2	5
Doves Life	0	0	90	290		85		26
Econet Life	0	0	0	0	21	21	1	1
Evolution Health and Life	0	0	0	0	29	28	10	7
Fidelity Life	0	0	76	46	99	76	11	7
First Mutual Life	0	0	249	216	202	182	9	9
Nhaka Life	1	1	19	26	13	9	6	3
Heritage Life	0	0	21	0	16	0	5	0
Nyaradzo Life	10	0	303	320	1082	1133	47	19
Old Mutual Life	12	13	238	180	354	372	6	2
ZB Life	0	0	236	151	46	56	13	8
Zimnat Life	0	0	252	252	86	86	5	5
Total	26	14	1533	1534	1988	2064	115	92

3.4 For the nine months-ended 30 September 2020, the life assurance sector was staffed by 2064 employees and had a total of 92 branches.

4. Economic Developments

Global and Regional Economic Outlook

4.1 The total number of confirmed Covid-19 cases globally exceeded 33 million, with over a million deaths as at 30 September 2020, compared to over 10.2 million cases and 503 862 deaths recorded as at 30 June 2020. Most notable increases in Covid-19 transmissions were recorded towards the end of the quarter, in the United States of America, Latin America, India and South Africa.

4.2 Notwithstanding the general improvement in global economic activity, the road to recovery is projected to be long, winding and uncertain following a renewed surge in Covid-19 infections. As a result, re-openings have been stalled and targeted lockdowns reinstated in some countries such as the United Kingdom, France and Germany

4.3 Revised IMF projections reveal a lesser contraction in global economic output of 4.4% in 2020, from an earlier forecast of 4.90% in June 2020, driven by improved GDP growth forecast for advanced economies. The advanced economies GDP is expected to decline by 5.8% in 2020, an improvement from earlier forecast of 8.0%. This is on the back of expected better GDP outturns in the Euro area and the United States that adopted aggressive policy measures which contributed to improved financial conditions.

4.4 GDP growth for emerging markets and developing economies (EMDEs) is expected to contract by 3.3% in 2020. However, significant growth of 1.9% in 2020 and 8.2% in 2021 is expected in China, as the economy reopened early in April, and normalised faster than expected owing to strong policies and resilient exports. Global outlook projections are as shown in Table 3.

Table 3: World Economic Outlook Projections (Percentage Change)

	2019	2020*	2021*
World Output	2.8	-4.4	5.2
Advanced Economies	1.7	-5.8	3.9
USA	2.2	-4.3	3.1
Euro Area	1.3	-8.3	5.2
Emerging Markets and Developing countries	3.7	-3.3	6
China	6.7	1.9	8.2
Sub-Saharan Africa	3.2	-3	3.1
Nigeria	2.2	-4.3	1.7
South Africa	0.2	-8.0	3.0

Source: October 2020 World Economic Outlook, IMF. * Revised projections

4.5 Sub-Saharan Africa GDP growth expectations were broadly unchanged from June 2020, with a contraction of 3% in 2020. A rebound of 3.1% is projected in 2021 to pre-Covid-19 levels. The largest growth impact in the region is expected to arise from tourism dependent and commodity dependant economies including oil exporting countries.

Domestic Economic Outlook

4.6 The Government projects the domestic economy to contract by 4.5% in 2020 owing to vulnerabilities suffered during the pre-Covid19 i.e. climatic shocks and macroeconomic instability. The economy is expected to rebound by 7.4% in 2021, underpinned by stabilisation gains of the Transitional Stabilisation Programme, successor strategies and programmes under the National Development Strategy One as well as improved climate and investment conditions.

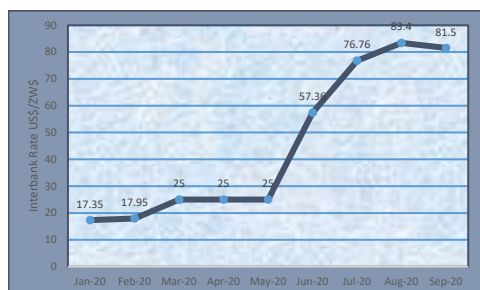
4.7 IMF projections on Zimbabwe, however, show a much deeper contraction in 2020, of 10.4% in 2020, and a more conservative growth of 4.2% in 2021.

Exchange Rate Developments

4.8 The introduction of the foreign exchange auction system on 23 June 2020 has resulted in a more stable and predictable foreign exchange market. Availability of foreign exchange has also improved, with a total of US\$291 million having been allotted by 2 October 2020.

4.9 The interbank rate depreciated to \$83.4 in August 2020 from \$57.36 in June 2020, before closing the quarter at \$81.50 as depicted in Figure 1.

Figure 1: Interbank Exchange Rate January to September 2020 (US\$/ZW\$)



Source: Reserve Bank of Zimbabwe

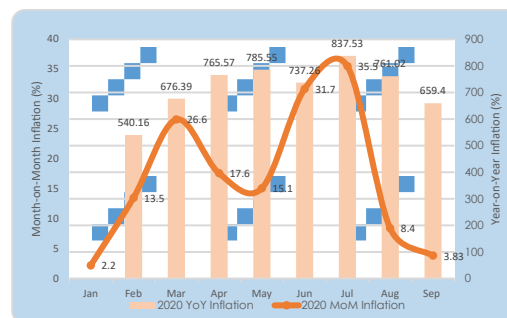
Inflation Developments

4.10 The foreign exchange auction system stemmed the indexing of prices to parallel market rates by market players that in turn fuelled inflation. This was evidenced by a sharp decline in month-on-month inflation rate from 35.5% in July 2020 to 8.4% in August 2020, and a further decline in September to close the quarter at 3.83%.

4.11 Major declines were recorded in food and non-alcoholic beverages inflation rate which decreased by 31.69% in August to reach 6.30% from the July rate of 37.99%. Non-food inflation declined to 23.73% from 33.76% in July 2020.

4.12 The annual inflation rate also declined from 837.37% in July 2020 to 659.4% in September 2020 as shown in Figure 2. The reduction in inflation rate, though in the positive territory, shows that prices are increasing at a decreasing rate.

Figure 2: Month on Month Inflation 2020 and Year on Year Inflation 2020 (percent)



Source: ZIMSTATS

4.13 ZIMSTAT introduced a blended CPI inflation in June 2020, which combines the average changes in price of goods and services sold in the two main currencies in circulation, namely the ZW\$ and the US\$. The annual blended CPI inflation was 457.19% in June 2020 and increased to 485.3% in August before declining to close the quarter at 376.3% in September 2020.

4.14 The monthly blended CPI inflation rate declined from 29.44% in June 2020 to 16.7% in July, and further decreased to 1.4% in August 2020. In September 2020, the blended inflation was -0.5%.

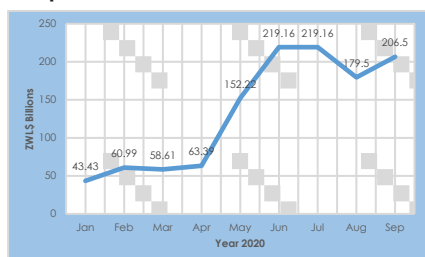
Zimbabwe Stock Exchange Developments

4.15 Trading on the Zimbabwe Stock Exchange resumed on 3 August 2020, following the suspension of trading activities on 26 June 2020, to pave way for investigations into the suspected trading of foreign exchange on the parallel market linked to movements in the Old Mutual Implied Exchange Rate. Old Mutual, PPC remain suspended from trading on ZSE whereas Seed Co International is now trading on the Victoria Falls Stock Exchange.

4.16 As a result of the suspension of trade on the ZSE, market capitalisation level was affected as it declined from \$219.16 billion recorded on 26 June 2020 before the suspension of trade to \$179.50 billion by 28 August 2020. Though market capitalisation improved to \$ZWL206.50

billion as at 30 September 2020, it still fell short of the June level as depicted in Figure 3.

Figure 3: Daily Market Capitalisation in ZW\$ Billions



Source: Zimbabwe Stock Exchange

Victoria Falls Stock Exchange (VFEX)

4.17 The launch of the Victoria Falls Stock Exchange on 23 October 2020, was a welcome development for the insurance and pensions industry as it provides opportunities to diversify investment portfolios and also hedge against exchange rate risk.

4.18 Trading, depository and settlement services commenced on the 26th of October 2020. According to section 6 of Statutory Instrument 196 of 2020, the clearing and settlement of transactions on the VFEX shall be done by the VFEX, locally or offshore in accordance with clearing and settlement rules approved by the Securities and Exchange Commission of Zimbabwe, in consultation with the RBZ.

4.19 All fungibility restrictions on SeedCo International Limited shares were lifted effective 6 November 2020. However, the delay in listing and removing fungibility of Old Mutual and PPC shares is of concern to the industry as it affects the determination of asset values of pension funds members and policyholders currently tied in the two counters.

Money Market Developments

4.20 The interest rate on savings deposits remained unchanged for the quarter under review, ranging from a

minimum of 2.35% and maximum of 5.19%.

4.21 One-month deposit rates improved from a minimum of 3.88% end of July 2020 to 4.17% as at 25 September 2020. Maximum rates for the same period increased from 6.99% to 7.73%.

4.22 The three-month deposit rates also improved from a minimum of 4.36% to 4.50% and the maximum rates from 7.17% to 8.37%. However, real rates remain negative given the high level of annual inflation.

Table 4: Average Rate per Annum

Date	Savings Deposit (%)	One-Month Deposit Rates (%)	Three-Month Deposit Rates (%)
30-Jun-20	2.35-5.19	3.26-6.56	4.21-7.22
31-Jul-20	2.35-5.19	3.88-6.99	4.36-7.17
28-Aug-20	2.35-5.19	4.14-7.17	4.79-7.49
25-Sep-20	2.35-5.19	4.17-7.73	4.50-8.37

Source: Reserve Bank of Zimbabwe, 2020

The background of the entire page is a dark blue, semi-transparent image of a hand holding a coin. The hand is positioned palm-up, with the thumb and index finger holding the edges of a coin. The lighting is soft, highlighting the texture of the skin and the metallic surface of the coin.

Part A

Life Assurance Business

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5. Performance in terms of Gross Premium Written

5.1 For the nine months-ended 30 September 2020, Gross Premium Written (GPW) by direct life insurers from traditional life assurance business excluding pension business grew by 873.38% in nominal terms from ZWL\$205.92 million reported for the nine months-ended 30 September 2019 to ZWL\$2.004 billion for the current reporting period.

5.2 On inflation-adjusted basis, the growth in GPW was negative 28.18%, an indication that growth in GPW lagged behind increases in inflation.

5.3 The main drivers of nominal growth in GPW for the nine months-ended 30 September 2020 were funeral assurance business and group life assurance.

5.4 The table below shows the growth in business written by product line.

Table 5: Business composition by product line

	2020 Q3	2020 Q3 (Inflation adjusted ZWL\$000)	2019 Q3	Real Growth after inflation adjustment	Nominal Growth (%)
Annuities	15,706	2,068	16,037	-87%	-2%
Term Insurance	56,623	7,456	9,328	-20%	507%
Endowment	19,375	2,551	4,491	-43%	331%
Pure Endowment	4,906	646	1,273	-49%	285%
Whole Life	7,208	949	9,114	-90%	-21%
Funeral	1,053,109	138,676	194,674	-29%	441%
Other/GLA	847,460	111,596	64,566	73%	1213%
Totals	2,004,387	263,944	299,483	-11.87%	569.28%

Breakdown of business by source

5.5 The Commission encourages players to be innovative in aligning product specifications for traditional life assurance products to policyholder expectations in terms of value preservation and relevance, more so in light of the obtaining volatile macroeconomic environment.

5.6 This remains very important given the legacy issues surrounding the loss of value suffered by policyholders and pension fund members during the conversion from Zimbabwe dollar to the United States dollar in 2009.

5.7 On breakdown of business by source, the life assurance sector's GPW for the nine months ended 30 September 2020 was skewed towards recurring business, which accounted for 79.60% of total business written, while new business accounted for the remaining 20.4%.

5.8 The low GPW generated from new business is a reflection of the low confidence in the sector, which discourages the uptake of life assurance policies (See figure 2).

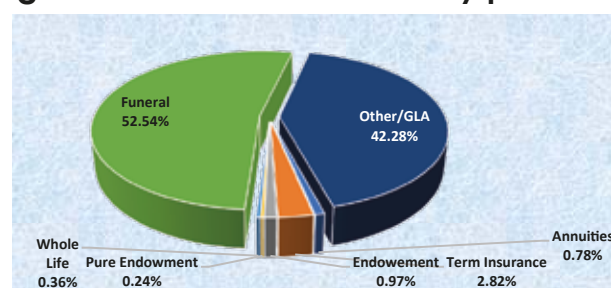
Breakdown by product

5.9 In terms of business composition, 94.82% of the total Gross Premium Written from traditional life assurance products was generated from funeral assurance and, group life assurance business.

5.10 Funeral assurance products continue to dominate life assurance product lines because of their ability to offer tangible benefits that are defined at inception of the policy.

5.11 Traditional life assurance products, which include term assurance, endowment policies, pure endowment and whole of life, continues to account for a small proportion of business generated during the nine months under review, indicating a decreasing appetite for such type of products in the market (see figure 4 below).

Figure 4: Breakdown of GPW by product



5.12 For the nine months-ended 30 September 2020, the life assurance sector collected contributions amounting to ZWL\$664.11 million towards fund business, indicating growth of 121.75% from ZWL\$299.48 million reported for the nine

months-ended 30 September 2019.

5.13 This business was not included in the GPW reported in this report, as it is regarded more as pension business.

Not taken up (NTU) policies

5.14 As at 30 September 2020, the life assurance sector reported a total of 20,680 not taken up (NTU) policies with a total nominal gross premium of ZWL\$24 million (See Table below).

Table 6: Not taken up policies

Company	Number of Policies	Nominal Gross Premium \$(000)
CBZ	190	14
Doves**	-	-
Econet	4,000	107
Evolution	-	-
Fidelity	-	-
First Mutual	9,946	6,386
Nhaka	112	2
Heritage	-	-
Nyaradzo	-	-
Old Mutual	1,864	16,844
ZB	598	34
Zimnat	3,970	767
Total	20,680	24,154

5.15 The premium lost on not taken up (NTU) policies is not significant, considering GPW of ZWL\$2.004 billion reported in the current reporting period.

5.16 Nonetheless players are continuously encouraged to have properly trained sales staff to avoid mis selling, which results in not taken up policies.

Lapsable and lapsed policies

5.17 For the nine months ended 30 September 2020, the life assurance sector had a total of 2.52 million lapsable policies, out of which 229,771 policies lapsed, translating into a lapse ratio of 9.21%.

5.18 The lapse ratio of 9.21% compares unfavourably to the lapse ratio of 8.21% recorded for the comparative period-ended 30 September 2019.

Table 7: Lapse ratios

Company	Number of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (EB /Corporates)	Lapsed Policies (Others)	Lapse Ratio
CBZ	102	667	-	-	653.92%
Doves**	-	-	-	-	0.00%
Econet	1,483,442	201,166	-	-	13.56%
Evolution	43,095	-	-	-	0.00%
Fidelity	102	667	-	-	653.92%
First Mutual	118,129	11,775	-	-	9.97%
Nhaka	24,604	1,557	29	-	6.45%
Heritage	-	-	-	-	0.00%
Nyaradzo	714,673	10,782	2,273	-	1.83%
Old Mutual	69,265	418	-	-	0.60%
ZB	9,665	306	-	-	3.17%
Zimnat	56,090	2,433	1	-	4.34%
Total	2,519,167	229,771	2,303	-	9.21%

6. Capitalisation

6.1 Adequate capitalisation is crucial for a strong life assurance sector that is resilient to endogenous shocks and also helps to cushion the industry against exogenous business shocks.

6.2 As at 30 September 2020, nine (9) out of 12 primary life assurers reported capital positions that were compliant with the MCR of ZWL\$75 million (see table below).

6.3 Non-compliant entities have been directed to develop capitalisation compliance roadmaps which the Commission is closely monitoring to ensure compliance.

6.4 In this regard, non-compliant players are encouraged to follow through their capitalisation roadmaps to ensure compliance.

6.5 For the purpose of reporting, Heritage Life failed to comply with the submission of the statutory information hence current figures for the institution were not reported.

Table 8: Trends in the Capital Positions for life assurance companies

Company	Capital Position Trend				
	2020 Q3	2020 Q2	2020 Q1	2019 Q4	2019 Q3
CBZ	427,147	330,697	146,367	106,337	105,915
Doves**	275,635	198,179	240,952	51,705	44,733
Econet	470,406	337,875	125,898	79,928	66,207
Evolution	40,719	40,379	40,362	49,203	7,939
Fidelity	519,634	179,691	179,691	5,917	6,937
First Mutual	1,451,790	324,784	202,044	818,410	226,292
Nhaka	60,880	39,769	23,468	11,271	7,939
Heritage	0	744	744	1,047	834
Nyaradzo	785,763	695,981	837,554	61,509	29,553
Old Mutual	5,023,563	5,638,827	1,751,768	949,027	954,529
ZB	578,600	599,591	300,623	253,396	48,339
Zimnat	527,647	123,051	121,512	117,348	59,988
Total	10,161,784	8,509,568	3,970,983	2,505,098	1,559,205

6.6 The Commission reminds players that they should continuously carry out capital self-assessments in line with the provisions of Statutory Instrument 95 of 2017. This is a statutory requirement that players should adhere to at all times.

6.7 The Commission is in the process of developing a risk based capital framework called Zimbabwe Integrated Capital and Risk Programme, which is expected to be implemented in the first half of 2021.

6.8 This framework will go a long way in ensuring that insurers have capital that is aligned to the risk they carry.

7. Asset quality

7.1 As at 30 September 2020, the Life Assurance sector reported total assets amounting to ZWL\$61.26 billion, representing growth of 24.79% from ZWL\$49.09 billion reported for the sector as at 30 June 2020.

7.2 The growth in the asset base of the Life Assurance sector was mainly driven by increases of ZWL\$6.4 billion and ZWL\$4.8 billion in the values of fixed properties and other investments respectively.

7.3 For the first time in 2020, value of equity investments decreased by ZWL\$2.1 billion from ZWL\$23.07 billion reported as at 30 June 2020 to ZWL\$20.97 billion reported as at 30 September 2020.

7.4 The decrease in the value of

equities held by the life assurance industry maybe as a result of a combination of decrease in valuations of share prices of counters on the Zimbabwe Stock Exchange and reduction of equity holding from investment portfolios of life assurers, as players realign their investment portfolios following the uncertainty caused by temporary suspension of trading on ZSE in June 2020.

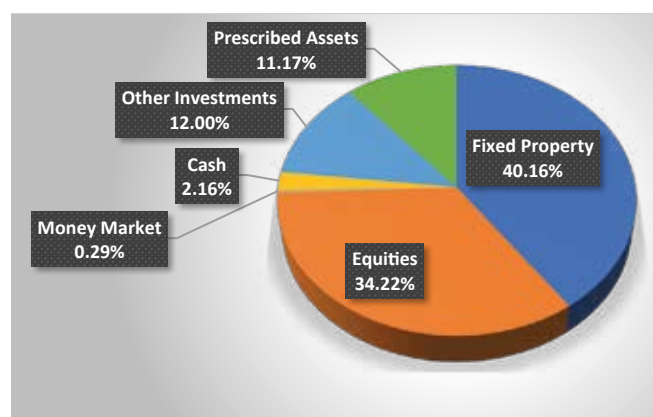
7.5 Fixed properties and equities constituted 74.38% of the total assets for life assurers. The life assurance sector should ensure that the profile of their assets closely match the maturity profile of their liabilities.

7.6 As the life assurance industry gravitates towards offering products with shorter terms than they used to, there is need to ensure that this is also reflected in the maturity profile of assets.

7.7 The Commission encourages players to continuously adhere to the requirements of circular 1 of 2013 and align their investment policy statements to the dictates of the circular as much as possible.

7.8 Figure 5 below shows the asset breakdown for the life assurance sector for the nine months ended 30 September 2020.

Figure 5: Assets breakdown



Other investments below include plant and equipment, receivables, deferred tax assets, technical assets, deferred acquisition costs and unquoted shares

Prescribed Assets

7.9 All the twelve (12) life assurance players reported prescribed asset ratios that were below the minimum required threshold of 15%.

7.10 As at 30 September 2020, the total investments in prescribed assets by the life assurance sector amounted to ZWL\$6.39 billion translating to an industry average compliance ratio of 10.42%.

7.11 Funds mobilised from prescribed assets investments are important for funding infrastructure developments and other projects of national importance.

7.12 The Commission is in the process of engaging the government to come up with prescribed asset investments that preserve value in the current inflationary environment.

8. Reinsurance

8.1 For the nine months-ended 30 September 2020, direct life assurers wrote business amounting to ZWL\$2.004 billion after removing pension business. Of this business, the industry ceded premiums amounting to ZWL\$44.99 million, translating to a reinsurance ratio of 2.25%.

8.2 The Reinsurance ratio for the life assurance sector is low on account of a significant GPW portion generated from funeral assurance business, which is traditionally not reassured.

8.3 Reinsurance is an important risk management mechanism that helps to protect the balance sheet of life assurers. The Commission urges life assurers to consider increasing their reinsurance ratio as a way of de-risking their balance sheets.

9. Earnings

9.1 Profit after tax for life assurers increased from ZWL\$6.54 billion for the nine months-ended 30 September 2019 to ZWL\$43.06 billion for the current reporting period, which is an increase of 593.40%.

9.2 This translates to an inflation-adjusted negative growth of 13.32%, indicating that the sector's profit after tax lagged behind the increase in inflation.

9.3 The main driver of profit in the life assurance sector was the significant increase in investment income from a ZWL\$6.41 billion reported in the nine months-ended 30 September 2019 to ZWL\$35.35 billion for the current comparable reporting period.

9.4 The combined ratio for the life assurance sector decreased from 84% for nine months-end 30 September 2019 to 75% for the comparable period in 2020 (See annexure 1), which is an increase in underwriting profits.

9.5 In nominal terms, underwriting profit for the sector increased by 377.49% from ZWL\$113.02 million for the nine months ended 30 September 2019 to ZWL\$551.60 million for the nine months ended 30 September 2020.

10. Liquidity

10.1 As at 30 September 2020, the life assurance industry reported a total of current assets amounting to ZWL\$2.99 billion as compared to ZWL\$1.99 billion reported for the half year ended 30 June 2020.

10.2 Current liabilities amounted to ZWL\$552.36 million for the nine months-ended 30 September 2020 translating into working capital of ZWL\$2.44 billion.

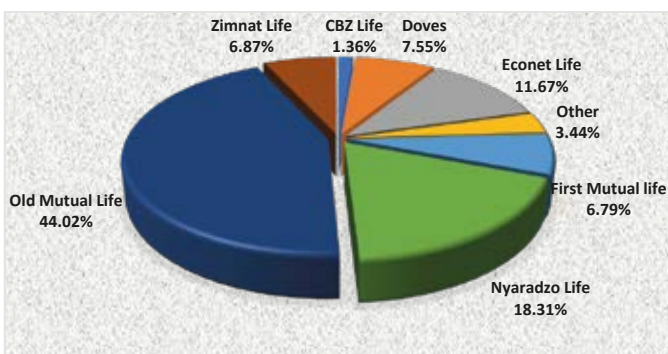
10.3 The life assurance sector's average current ratio was 542%% as at 30 September 2020 indicating sufficient liquidity to cover short-term contractual obligations.

11. Market Share

11.1 For the nine months-ended 30 September 2020, two players dominated the life assurance sector in terms of GPW with a total market share of 62.33% while the remaining players shared the remaining 37.67%.

11.2 Figure 6 below, shows the market share distribution for the life assurance sector in terms of GPW.

Figure 6: Market Share in terms of GPW

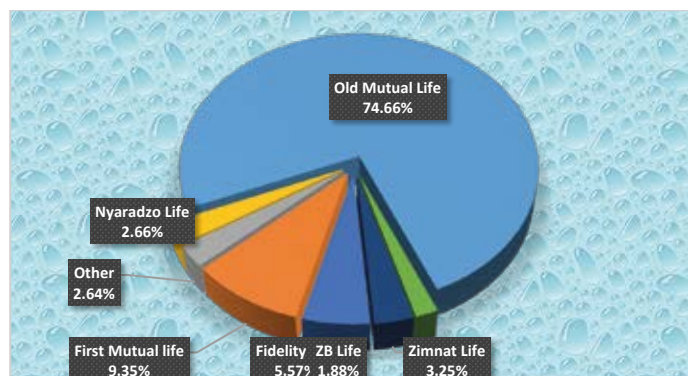


Other comprises Evolution Life, Fidelity Life, ZB Life, Heritage Life and Nhaka Life

11.3 In terms of market share by assets, two players dominated the sector, with a combined market share of 84.01% of total assets, while the remaining players shared the remaining 15.99%.

11.4 Figure 7 below shows the distribution of assets by entity.

Figure 7: Distribution of assets per by player



**Other comprises Econet Life, Doves Life, Evolution Life, Heritage Life, CBZ Life, and Nhaka Life*

The background of the slide features a close-up of two hands, palms up, holding a group of stylized human figures. The figures are in various shades of blue and purple, creating a sense of support and care. The overall color palette is dark and muted, with the text providing a strong contrast.

Part B

Life Reassurance Business

மேதேவ

Nature of the reinsurance business

While all reinsurers are authorised to write both life and non-life business, the statistics presented in this section only pertain to the composite reinsurers' life assurance business except for their capital positions, which comprise both life and non-life business.

The figures for Zep-Re only relate to the company's Zimbabwe Regional Hub Office.

Zep Reinsurance Company's Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

12. Performance in terms of Business Written

12.1 The volume of life reinsurance business written, in terms of Gross Premium Written (GPW), increased by 528.70% from ZWL\$12.54 million reported for the nine months-ended 30 September 2019 to ZWL\$78.84 million as at 30 September 2020 (See table below).

12.2 The growth in GPW was attributable to an increase in premiums in response to asset valuations.

12.3 In real terms, the sector experienced a negative growth of 17.24% from ZWL\$12.54 million to inflation-adjusted GPW of ZWL\$10.38 million.

Table 9: Breakdown of GPW for reinsurers

Company	GPW 2020 Q3	2020 Q3 (Inflation adjusted ZWL\$000)	GPW 2019 Q3	Real Growth after inflation adjustment	Nominal Growth (%)
Emeritus Re	48,262	6,355	5,449	17%	786%
FBC Re	16,499	2,173	2,660	-18%	520%
FM Re	7,424	978	2,065	-53%	260%
Zep Re**	6,655	876	2,370	-63%	181%
Total	78,840	10,382	12,544	-17.24%	529%

13. Capitalisation

13.1 As at 30 September 2020, all four composite reinsurers reported capital positions that were compliant with the minimum capital requirement of ZWL\$112.5 million (see table below).

13.2 Adequate capitalisation is important for life reinsurers as they guarantee some of the risks carried by direct life insurers

13.3 All players are required to continuously carry out capital self-assessments in line with the provisions of Statutory Instrument 95 of 2017.

Table 10: Trend in the Capital Position for Composite Reinsurers

Company	Sep 20 (ZWL\$000)	Jun - 20 (ZWL\$000)	Mar-20 (ZWL\$000)	Dec-19 (ZWL\$000)
Emeritus Re	659,234	57,225	90,491	96,891
FBC Re	387,769	387,769	133,066	166,013
FM Re	230,667	28,080	54,514	29,613
Zep Re**	876,053	14,649	241,852	172,127
Total	2,153,723	487,723	519,950	464,644

*Please note, the capital positions above comprise of both life and non-life reinsurance business (Composite Reinsurance Business).

14. Asset Quality

14.1 Total assets for life reinsurers sector amounted to ZWL\$1.08 billion as at 30 September 2020, a 31.39% increase from ZWL\$822.06 million reported as at 30 June 2020.

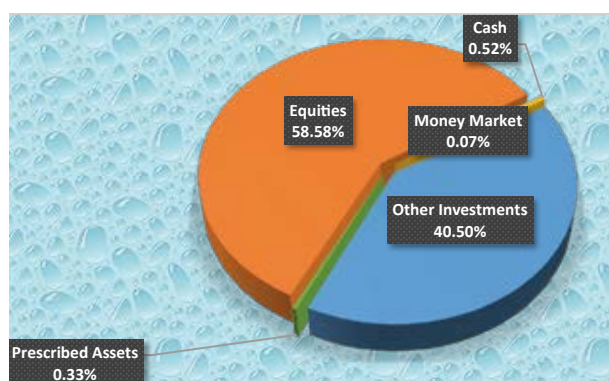
14.2 The growth in total assets was mainly due to an increase of ZWL\$173.8 million in other investments.

14.3 Two asset classes, equity investments and other investments constituted 99.08% of the total investments for the reinsurance sector as at 30 September 2020.

14.4 Cash and near cash assets, which include money market instruments and cash constituted only 0.59% of the total assets. Composite reinsurers are encouraged to hold enough liquid assets to pay claims as they fall due.

14.5 Under the current inflationary environment, sector players are investing in value preserving assets to protect the underlying policyholder funds which they guarantee.

Figure 8: Life Reassurers Total Assets



*Other investments include plant and equipment, deferred tax asset, accounts receivables, deferred acquisition costs and unquoted shares.

Prescribed Assets

14.6 As at 30 September 2020, three (3) of the four (4) life reinsurance players reported prescribed asset ratios that were below the minimum required threshold of 15%.

14.7 Total investments in prescribed assets by the life reinsurance sector amounted to ZWL\$17.18 million, translating to a compliance ratio of 1.59%.

Table 11: Prescribed assets ratios for sector players.

Reinsurer	Prescribed asset	Total assets	Prescribed	Amount required	Variance in
	Investments		asset ratio	to be compliant	compliance%
Emeritus Re	0	111,954	0.00%	16,793	-15%
FBC Re	3,590	886,033	0.41%	132,905	-15%
FM Re	13,587	60,019	22.64%	9,003	8%
Zep Re	0	20,541	0.00%	3,081	-15%
Total	17,177	1,078,547	1.59%	161,782	-13.4%

15. Earnings

15.1 For the nine months-ended 30 September 2020, the life reinsurance sector's profit after tax increased by 1424% from ZWL\$8.42 million reported for the nine months-ended 30 September 2019 to ZWL\$128.29 million for the nine months-ended 30 September 2020.

15.2 In real terms, profit after tax for the life reinsurers increased by 86.76% to ZWL\$16.89 million.

15.3 The increase in profit after tax is mainly attributable to significant increases in investments income.

15.4 In terms of underwriting profits, the reinsurance sector recorded a profit of ZWL\$1.68 million. The underwriting profit was mainly driven by high premium income, and a reduction in claims and commission costs.

15.5 The life reinsurance sector reported an average sector combined ratio of 97% for the nine months-ended 30 September 2020.

15.6 The Commission encourages all the players to streamline their costs structures so as to improve their combined ratios.

16. Liquidity

16.1 For the nine months ended 30 September 2020, the life reinsurance sector reported current assets amounting to ZWL\$627.29 million as compared to ZWL\$383.92 million reported as at 30 June 2020.

16.2 Current liabilities for the sector amounted to ZWL\$495.62 million translating to working capital of ZWL\$131.67 million for the nine months-ended 30 September 2020.

16.3 The life reinsurance sector's average current ratio was 126.57% as at 30 September 2020, showing sufficient liquidity to cover short-term contractual obligations as they fall due.

16.4 The Commission urges the reinsurance sector to hold enough current assets to cover its current liabilities.

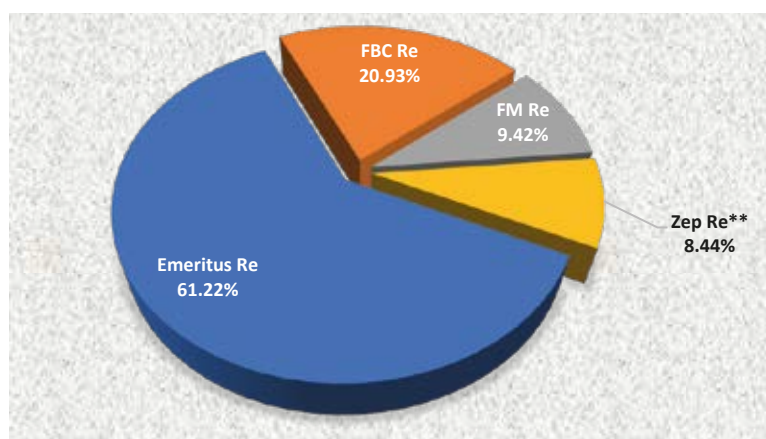
17. Market Share

Market Share in terms of GPW

17.1 GPW for the life reinsurance sector remains concentrated in two players, controlling a combined market share of 82.15% while the remaining 2 players controlled the remaining 17.85%

17.2 The breakdown of the market share of sector players in terms of GPW is shown in figure below.

Figure 9: Market Share by Gross premium written

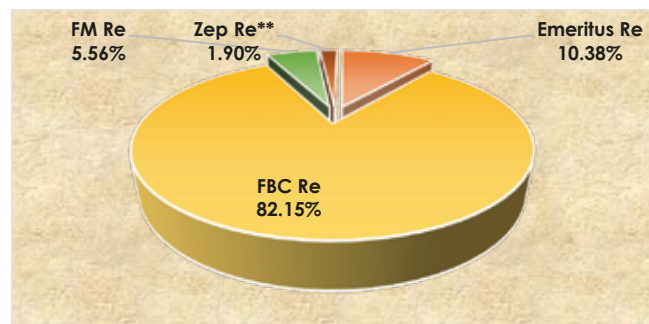


Market Share in terms of total assets

17.3 In terms of total assets, one player controlled 82.15%, while the remaining 3 players controlled 17.85% of the sector total assets.

17.4 Breakdown of sector assets by players is shown in figure 10 below.

Figure 10: Market Share distribution in terms of total assets



18. Life Assurance Complaints

17.5 During the quarter under review, the Commission received 13 complaints, 10 of which were resolved while nine (3) were still under investigation.

17.6 Of the 13 complaints received, 11 of them related to funeral assurance products offered by life assurance companies while the other two complaints had to do with life assurance business.

17.7 The funeral product complaints related to among others, repudiation of claims, policy lapse, low benefits versus the anticipated amount and premium increases.

The table below shows the funeral assurance-related complaints handled.

Nature of complaints	Number of complaints
Repudiation of claims	4
Policy lapse	3
Low benefits	2
Premium increases	2
Total	11



Annexures

Annexures

ANNEXURE 1. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE PERIOD ENDED 30 SEPTEMBER 2020 (000)

	0	CBZ Life	Doves	Econet	Evolution	Fidelity**	First Mutual	Nhaka	Heritage*	Nyaradzo	Old Mutual	ZB	Zimnat	Total Q3 2020
Gross Written Premiums		35,767	199,035	307,407	5,118	52,062	178,851	3,289		482,302	1,159,648	64,046	180,975	2,668,500
Reinsurance Premiums		422		8,813	3	7,896	1,889	56			18,904	4,100	10,799	52,882
Net Written Premiums		35,345	199,035	298,594	5,115	44,166	176,962	3,233	-	482,302	1,140,744	59,946	170,176	2,615,618
Increase/(Decrease) in UPR		2,281			19					(15,995)				(13,695)
Net Earned Premiums		33,064	199,035	298,594	5,096	44,166	176,962	3,233	-	498,297	1,140,744	59,946	170,176	2,629,313
Transfer to IBNR		1,086		18,394	144			318					2,076	22,018
Claims paid		5,424	30,814	98,178	1,750	9,488	28,291	340		323,547	697,343	33,830	38,601	1,267,606
Outstanding claims		481	19,904					25				3,924		24,334
Net claims		6,991	50,718	116,572	1,894	9,488	28,291	683	-	323,547	697,343	37,754	40,677	1,313,958
Net Commission Incurred		1,432	14,796	21	1,201	925		492		27,200	4,559	11,418	14,771	76,815
Technical Result		24,641	133,521	182,001	2,001	33,753	148,671	2,058	-	147,550	438,842	10,774	114,728	1,238,540
Operating Expenses			89,361	50,665	1,988	3,665				113,578	342,893	55,821	28,974	686,945
Underwriting Result		24,641	44,160	131,336	13	30,088	148,671	2,058	-	33,972	95,949	(45,047)	85,754	551,595
Management expenses				7,464		-	(127,457)	3,761					-	(116,232)
Investment Income		80		327,023		796,073					35,016,720	5,905		36,145,801
Unrealised Gains/Losses		294,476				-	4,610,400	49,412				406,910	1,160,349	6,521,547
Other expenses		74,713	-	92,210	29	18,108	-	521		87,163			27,078	299,822
Other Income		2,117	4,677			1,467,720	13,945	1,019		124,142	347,353	194,201	87,021	2,242,195
Profit Before Tax		246,601	48,837	358,685	(16)	2,275,773	4,900,473	48,207	-	70,951	35,460,022	561,969	1,306,046	45,277,548
Taxation		110	972	778		-	(20,332)			4,866	(47,203)	15,229	3,069	(42,511)
Profit After Tax		246,491	47,865	357,907	(16)	2,275,773	4,920,805	48,207	-	66,085	35,507,225	546,740	1,302,977	45,320,059
Transfer to policyholders funds					3						31,409,537	274,995	885,528	32,570,063
Dividends														-
Retained Income		246,491	47,865	357,907	(19)	2,275,773	4,920,805	48,207	-	66,085	4,097,688	271,745	417,449	12,749,996

ANNEXURE 2. STATEMENT OF FINANCIAL POSITION FOR LIFE ASSURERS AS AT 30 SEPTEMBER 2020 (000)

	CBZ Life	Doves	Econet	Evolution	Fidelity	First Mutual	Nhaka	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total
ASSETS													
Non-Current Assets													
Intangible assets	9	-	5,305	31	358		-		721,139	-	27,559	83	754,484
Property and equipment	105,424	30,225	34,219	3,551	276,028		634			141,014	4,515	5,988	601,598
Investment property	340,490	206,732	183,306	11,175	896,650	10,313	38,277		86,672	21,980,658	164,961	1,162,207	25,081,441
Investments and securities	37,077	3,933	45,209	25,886	2,183,102	1,166,425	120		23,863	162,685	358,872	578,731	4,585,903
Investment assets							24,854			21,826,044	-		21,850,898
Investments in Associated Companies						4,488,084			6,619		539,995		5,034,698
Other Non-Current Assets									174,383	104,566	50,639	28,299	357,887
Total Non-Current Assets	483,000	240,890	268,039	40,643	3,356,138	5,664,822	63,885	-	1,012,676	44,214,967	1,146,541	1,775,308	58,266,909
Technical Assets													
Reinsurers' Share of O/S Claims				-									-
Deferred Acquisition Cost (DAC)	-	-											-
Total Technical Assets	-	-	-	-	-	-	-	-	-	-	-	-	-
Current Assets													
Cash & bank balances	9,332	16,300	66,438	134	20,657	19,910	70		70,545	1,047,740	1,545	70,425	1,323,096
Short term Investments	6,697	110	329,469		1,032				17,493	53,158	212	9,212	417,383
Other investments					2,186							5,127	7,313
Premium Receivables	1,145	713			30,021	13,371						12,903	58,153
Intercompany Investments	3,817	41,264		738									45,819
Other current assets	1,800	17,186	20,612	56		28,153	1,959		531,427	422,696	1,295	118,723	1,143,907
Total Current Assets	22,791	75,573	416,519	928	53,896	61,434	2,029	-	619,465	1,523,594	3,052	216,390	2,995,671
TOTAL ASSETS	505,791	316,463	684,558	41,571	3,410,034	5,726,256	65,914	-	1,632,141	45,738,561	1,149,593	1,991,698	61,262,580
Liabilities													
Deferred Tax Liabilities		2,171		7		21,409			163,612	149,764	24,493	7,217	368,673
Future policyholders benefits	8,793				2,536,455				296,312	40,230,730	513,651		43,585,941
Short term loans													-
Long term Loans		1,257			12,544				608			1,105	15,514
Current Tax provisions													-
Gross Outstanding Claims	1,494			25	1,495		24			34,204	4,266	43	41,551
IBNR	1,749		20,495	277									22,521
UPR	3,866		888	107					18,437			3,322	26,620
Creditors									333,618	127,572			461,190
Amount due to reinsurers	7		441				31						479
Other Liabilities	62,734	37,401	192,328	436	338,589	4,253,057	4,979		33,790	172,728	28,583	1,452,364	6,576,989
Total Liabilities	78,643	40,829	214,152	852	2,890,400	4,274,466	5,034	-	846,377	40,714,998	570,993	1,464,051	51,100,795
SHAREHOLDERS' EQUITY													
Share Capital	-	1,000	-		1,092	-	20		400	132	231	200	3,075
Share Premium	1,388		5,686	2,435	671	10,706	4,602			29,990	4,432	450	60,360
Revaluation & Other Reserves	101,883		39,354	34,160	275,192	2,015			724,081	33,764	82,964	2,478	1,295,891
Treasury shares		3,701											3,701
Prior years earnings	77,329	223,068	67,458	4,066	242,689				(21,863)	861,990	219,228	107,070	1,781,035
Current year retained	246,547	47,865	357,908	58	(10)	1,439,069	56,258		83,145	4,097,687	271,745	417,449	7,017,721
Minority interest													-
Shareholders's Equity	427,147	275,634	470,406	40,719	519,634	1,451,790	60,880	-	785,763	5,023,563	578,600	527,647	10,161,783
TOTAL EQUITY & LIABILITIES	505,790	316,463	684,558	41,571	3,410,034	5,726,256	65,914	-	1,632,140	45,738,561	1,149,593	1,991,698	61,262,578